

ZIMBABWE SCHOOL EXAMINATIONS COUNCIL

General Certificate of Education Advance Level

ACCOUNTING

9197/3

PAPER 3 Case Study

NOVEMBER 2011 SESSION

2 hour 30 minutes

Instructions

Each scenario in this case study describes an event in the life of a business and is followed by a question. Answer all questions. You are advised to answer the questions in the order in which they are set.

Scenario 1

The Quartet is a partnership which owns a manufacturing firm. The balance sheets of the firm as at 31 December 2004 and 2005 are given in Table 1.

Table 1

As at 31 December	2004		2005	
Assets	\$ 000	\$ 000	\$ 000	\$ 000
Non-current assets				
Premises at cost/valuation	1 000		1 300	
Provision for depreciation	<u>(375)</u>	625	<u>(26)</u>	1 274
Plant and equipment at cost	600		1 400	
Provision for depreciation	<u>(240)</u>	360	<u>(700)</u>	700
Motor vehicles at cost	840		1 440	
Provision for depreciation	<u>(504)</u>	<u>336</u>	<u>(864)</u>	<u>576</u>
		1321		2 550
Current assets				
Stock	750		810	
Debtors	649		540	
Bank	<u>400</u>	<u>1 799</u>	<u>380</u>	<u>1 730</u>
		<u>3 120</u>		<u>4 280</u>
Equity and liabilities				
Partners' capitals at 1 January	2 330		2 600	
Add Revaluation	-		675	
Net profit	<u>566</u>		<u>739</u>	
	2 896		4 014	
Less Drawings	<u>(294)</u>	2 600	(334)	3 680
Trade creditors		<u>520</u>		<u>600</u>
		<u>3 120</u>		<u>4 280</u>

Notes

- (i) The premises were re-valued on 1 Jul 2005.
- (ii) During 2005, motor vehicles which had cost \$ 180 000 (net book value \$ 36 000) were sold for \$ 30 000.

Question 1

- (a) Prepare a cash flow statement for the year ended 31 December 2005. [12]
- (b) State and explain **five** benefits of preparing cash flow statements. [10]

Scenario 2

The partnership was owned by Anesu, Baye, Chamu and Dahwa. Anesu retired on 1 January 2006 and the remaining partners decided to admit Chipu on the following day. The finance manager was tasked with making the necessary adjustments in the partner's capital accounts using the information in Table 2.

Table 2

Partner's capital accounts as at 31 December 2005	
	\$ 000
Anesu	1 205
Baye	1 070
Chamu	830
Dahwa	575

Additional information

- (i) The profit and loss sharing ration were Anesu $\frac{3}{8}$, Baye $\frac{2}{8}$, Chamu $\frac{2}{8}$ and Dahwa $\frac{1}{8}$.
- (ii) The plant and equipment was re-values at \$ 590 000 and the motor vehicles at \$ 300 000.
- (iii) A provision for doubtful debts of 5 % of debtors at 1 January 2006 was created.
- (iv) Goodwill was valued at \$ 240 000 but a good will account was not to be opened.
- (v) An amount of \$ 1 000 000 was transferred from Anesu's capital account to a loan account
- (vi) On 2 January 2006, Chipu introduced \$ 830 000 cash as capital and her share of goodwill.
- (vii) The new profit and loss sharing ratio was Baye $\frac{4}{8}$, Chamu $\frac{1}{8}$, Dahwa $\frac{1}{8}$ and Chipu $\frac{2}{8}$.

Question 2

- (a) Prepare the capital accounts of the old partnership to give effect to Anesu's retirement. [13]
- (b) Prepare the capital accounts of the new partnership to give effect to Chipu's admission. [12]
- (c) Define goodwill. [2]

Scenario 3

On 31 December 2006, the partnership business was taken over by Quartet Ltd. At 31 December 2007 the balance sheet of the company was as shown in Table 3.

Table 3

	\$ 000	\$ 000	\$ 000
Assets			
Non-current assets	Cost/ Valuation	Depreciation	Net book value
Freehold premises	1 300	78	1 222
Plant and equipment	2 000	810	1 190
Motor vehicles	<u>1 800</u>	<u>1 440</u>	<u>360</u>
	<u>5 100</u>	<u>2 328</u>	<u>2 772</u>
Current Assets			
Stock		836	
Trade debtors		562	
Bank		<u>600</u>	<u>1 998</u>
Total assets			<u>4 770</u>
Equity and liabilities			
Share capital			
Ordinary shares of \$1 each			2 500
Reserves			
Share premium account		570	
Profit and loss account		<u>1 000</u>	<u>1 570</u>
Shareholder's funds			<u>4 070</u>
Long-term liabilities			
10 % Debentures			500
Current Liabilities			
Trade creditors			<u>200</u>
			<u>4 770</u>

After the preparation of the above draft balance sheet, the following matters were discovered:

- (i) The plant and equipment had been depreciated for the year at 15 % on the reducing balance basis instead of at 15 % on cost.
- (ii) Stock which had cost \$ 200 000 had been damaged. It can be sold for \$ 150 000 after restorative work costing \$ 80 000. It is included in the above draft balance sheet at cost.

- (iii) Goods sent on sale or return basis to P. Pfende had been invoiced to him at \$ 104 000. Goods are sold at mark up of 30 %
- (iv) A bonus issue of one ordinary share for every five held on 1 October 2007 had not been recorded. After the bonus issue, the reserves of the company must be left in their most flexible form.
- (v) A rights issue of one ordinary share for every six held, based on the revised share capital, had been made on 1 November 2007 at \$ 1, 50 per share. This had not been effected in this books of account.
- (vi) A debtor who owed the company \$ 42 000 was declared bankrupt. It was decided to make a provision for doubtful debts of 5 % on debtors.
- (vii) A dividend of 10 % was declared on 31 December 2007. All shares issued during the year do not rank for dividends in the year.

Question 3

- (a) Redraft the balance sheet taking into account the above issues. [20]
- (b) State **three** differences between a bonus issue and a rights issue. [6]

Scenario 4

The company manufactures **three** products, Lido, Beta and Sigma, from the same process and the same raw materials. All products can be sold at the split-off point but Lido does not need further processing.

The unit sales values of the three products at the split-off point are:

	\$
Lido	10,50
Beta	11,25
Sigma	15,00

After further processing, Beta and Sigma can be sold for \$27 and \$30 per unit respectively.

During the month of February 2008, sales were as follows:

Lido	2 000 units
Beta	2 500 units
Sigma	2 250 units

There were no opening and closing stocks of raw materials and work in progress.

Stocks of finished goods were as follows:

	Lido	Beta	Sigma
Stocks (units) at 1 February	400	550	500
Stocks (units) at 28 February	350	450	300

Costs incurred in February 2008 were as follows:

	\$
Joint manufacturing costs	48 000
Additional processing costs for Beta	19 200
Additional processing costs for Sigma	18 450

Assume the first in, first out method of stock valuation.

Question 4

- (a) Explain the concept of equivalent units. [3]
- (b) Calculate the number of units of each product manufactured in February 2008. [3]

- (c) Calculate the closing stock values for each product on the basis of
 - (i) physical quantity produced, [9]
 - (ii) the sales values of the quantities produced. [6]

- (d) Explain the accounting treatment for
 - (i) normal losses, [2]
 - (ii) by-products. [2]